

165 Randolph Ave — “The BLOCK”

Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake) — From: Matthew Teper — 17 September 2026 · 1 · **QUESTIONS**

Referenced to your sheet and cell. Our reasoning is in the Clarification at the back; you should not need it to answer these.

Cell / line	Your line reads	Question
BUDGET SUMMARY		
1 D67	Soft Costs & FFE Contingency 10%	The formula is $= (D23+D31+D47+D65) * 0.1$ — 10% of the whole project, not of soft costs and FF&E. Which is intended? If it is a project contingency, does D29 stay?
2 D30	Escalation (Calculated at 5%) — building	Blank. What should the building carry?
3 D26	Trade Costs To Be Priced — \$12,000,000	What scope is inside it, and when can it be priced?
4 D28	Overhead, Profit & Insurance (9% Combined)	Applied to trade + D26 + D27. Is it intended to run on general conditions and on unpriced scope?
5 D21	Parking Garage — 260/spaces	Formula is $= 86 * 25000$. 86 or 260? And is off-site parking in this deal?
6 B8, D71	SF: 135,953 / \$ PER SF	Where does 135,953 SF come from? Can the \$/SF basis be stated on the sheet?
GENERAL CONDITIONS		
7 GC tab + 013000	General Conditions \$3,141,000 / PROJECT REQUIREMENTS \$3,034,000	The same function carried twice — once on the tab, once inside trade cost?
8 013000-11	Project Labor — 1 LS — \$2,000,000	Crew, rate and weeks?
BUILDING & FIT-OUT BREAKDOWN		
9 015800-1	Install sidewalk bridge and scaffolding around building — \$4,000,000	The backup rows beneath (1,126 LF @ \$500 + 27,024 SF @ \$75) total \$2,589,800. Which is right? How many LF of public sidewalk does the building front?
10 015800-2	Interior scaffolding — \$2,000,000	Staging what, at what rate, for how long? Does the sequence assume the ground-supported stage and towers are already erected?
11 055100	STRUCTURAL STEEL & MISC METALS — all 19 lines at zero	The RFEM tonnage is a full rebuild, not our lifted-roof / ground-supported scheme (see Clarification). Is the lift possible? Does \$6,000/TON apply to the built-up plate columns?
12 064000 / 078100 / 081000 / 084100 / 088000 / 092300	Millwork, Fireproofing, Doors, Storefront, Glazing, Tile — all at zero	When are these priced?
13 230000-1	HVAC System including BMS — 132,542 SF @ \$45	Priced on load or on area? Can we see tonnage?
14 260000	I/O lighting package throughout — provided by others — \$1,631,436	FF&E line 310 carries Architectural & Exterior Lighting \$1,750,000. Which of the two survives?
15 100000	Coat Check Lockers — 2,000 EA @ \$500	Is 2,000 the intended count?
16 220000	W/C, Lavs, Urinals — 178 / 154 / 51 @ \$4,000	Can we see the code fixture calculation?
17 024100-19	Demo Pre-cast concrete roof — 74,000 SF @ \$8	Is the existing roof confirmed as pre-cast concrete?
SOFT COST & FF&E DETAIL		
18 201-2	Roof Abatement — 70,000 SF @ \$21	Where does the rate come from, and has the roof been sampled?
19 211-1	Attorney Fees — \$0 (“SLA Legal Fees carried in Feasibility DD”)	Are the SLA, cabaret and theater-classification filings inside the feasibility study already spent?
20 500005 / 500006	G.L. INSURANCE \$0 / BUILDERS RISK INSURANCE \$0	Inside the 9%? Can your broker quote them separately, and quote an owner-controlled programme?
ACROSS THE WHOLE BUDGET		
21 All sheets	Your view, not ours	Where do you think we can cut, and what is each cut worth? Please list them with the line references and the all-in value, so we can decide together which ones to take.

165 Randolph Ave — “The BLOCK”

Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake) — From: Matthew Teper — 17 September 2026 · 2 · **RECOMMENDATIONS — WHAT WE CAN DO TO CUT COSTS**

What we would like to do to bring the number down, in the order it is worth doing. Where an item is yours to action, it is written as an ask.

Lever	Who	What and why
1 Fix the four workbook items	Thomas	Contingency to its labelled base; general conditions in one place; delete the duplicated lighting package; reconcile the sidewalk bridge to its own backup. About \$11.8M all-in and none of it is a re-estimate.
2 Restructure the contract	Us + Thomas	Cost of the work open-book. General conditions as a rate × duration , capped. Fee as a fixed dollar amount , not charged on general conditions or unpriced scope. Insurance as an actual broker premium, with an owner-controlled programme quoted alongside. One owner-held contingency. Please have your broker price it both ways.
3 Settle the programme	Us + Nate	Occupied terrace, third floor, restaurant, lounges, foundry. Every square foot removed takes steel, deck, sprinklers, fixtures, HVAC, finishes and general conditions with it. \$5–12M .
4 Second value-engineering pass on the structure	Structural + Thomas	VE1 already took 533,871 lb out of Rev 43 (21%) with no loss of programme. Ask for VE2 now the scheme is stable. \$1–3M .
5 Lower the high roof if +64 ft 6 in is not needed	Nate + structural	Steel, envelope, scaffolding, crane and erection all move together. \$1–3M .
6 Test a partial roof lift over the high-roof zone	Rooflifters + structural	Our scheme keeps the existing roof and lifts it; the stage, production mezzanine and VIP mezzanine stand on their own footings. The RFEM model prices a full rebuild instead. We are only asking whether the lift is possible — starting with what the existing roof is made of. See the Clarification.
7 Shorten the programme	Thomas	90 weeks of staffing is \$3,141,000. Each quarter off the schedule is about \$420,000 of general conditions before anything else.
8 Buy out long-lead packages early	Thomas	Steel, switchgear, elevators, HVAC plant. Every package fixed early collapses its share of escalation. \$1–2M .
9 Price the plug honestly, and expect it to rise	Thomas	055100 and 064000 off the takeoff and the test fit. We think D26 goes up when priced. Better now than at buyout, and it will not be read as your number moving.
10 Seating — wait for counsel	Counsel + Nate	3,714 chairs at \$125 is a licensing input, not a furniture choice. Do not buy until the classification is ruled. Up to \$0.75M .
11 Off-site parking	Us	Confirm whether it is in the deal. \$2.26M .
12 Use your own benchmarks to right-size FF&E	Thomas	BPT \$837K on 26 POS; soft goods \$725k; audio \$690k; lighting \$450k. They cut both ways — the bar package reads light against them, the audio line reads heavy.

TWO THINGS WE DO NOT WANT CUT

Acoustic treatment. Next to residential this is the licence to operate. We will not take the lower number.

The investigation package. Phase I/II, existing-conditions survey, structural peer review, Rooflifters Stage 3: \$435,000 that closes the unknowns contingency is being held against.

165 Randolph Ave — “The BLOCK”

Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake) — From: Matthew Teper — 17 September 2026 · 3 · CLARIFICATION — THE REASONING BEHIND
PAGES 1 AND 2

Where the numbers stand

The 16 September Master Development Budget totals **\$89,084,591** — \$1,202/SF on the 74,100 SF footprint, or \$655/SF on the 135,953 SF the sheet divides by. Our reconstruction of the trade cost ties to your Trade Cost cell to **\$0.00** across 309 line items, so every figure quoted here is from your workbook or from the RFEM takeoff.

Five arithmetic items in the workbook account for about **\$11.8M** all-in and none of them is a re-estimate. The rest of the difference between us is method and programme, which is what the next two sections are about.

Can we do a roof lift? — and what the steel takeoff actually prices

Our scheme, stated plainly. Keep the existing roof and lift it to the target clear height on the lifter's towers, extending the columns beneath and cladding the new band. Build the stage on its own footings poured into the slab. Build the **production mezzanine** and the **VIP mezzanine** from the ground up on their own footings inside the envelope. Nothing hangs from the building. The roof carries weather, snow and itself, and nothing else — all production and rigging load goes through the stage and tower structure straight into the ground.

The RFEM model (Rev 38, VE1) does not model that scheme. We read this off the member geometry, not off anybody's description of it, and every number is reproducible from the Member Detail sheet: 124 of the 243 column members start at or below +2 ft — 450,114 lb, 62.4% of all column steel — which is a new full-height column off the slab, not an extension. Only 25 members start at the +20 ft existing roof line. All 517 truss members are phase NEW, between +56.5 and +64.5 ft. The level *Existing Roof / Lower (+20 ft and below)* carries **zero** members. The words lift, jack, shore, temporary, splice and underpin appear nowhere in 8,658 rows. The model also carries a 32,942 SF mezzanine at +20 ft and 13,077 SF of tiered seating of its own, plus a 26,389 SF **occupied terrace** at +45 ft 7 in — none of which is the production or VIP mezzanine we specified.

So the 997.2 short tons is the tonnage of a full rebuild. New full-height columns, a new trussed roof at +64 ft 6 in, an occupied terrace, and the model's own mezzanine and seating. It is not the tonnage of a lifted roof with ground-supported stage and mezzanines, and it should not be priced as though it were. The two schemes do not share a steel schedule: ours is a lifter's contract plus column extensions plus the new wall band, with the stage, production mezzanine and VIP mezzanine priced as their own ground-up structures; the model's is 997 tons of new frame. Applying \$6,000/TON to 997 tons answers a question about a building we have not asked for.

What we are asking is simpler than a re-price: is it possible? (1) Can the existing roof be lifted — in whole or in part — to the target clear height, with the stage, production mezzanine and VIP mezzanine standing on their own footings beneath it? (2) What is the existing roof made of? Line 024100-19 demolishes 74,000 SF of *pre-cast concrete roof*, and a pre-cast plank roof is a far worse lift candidate than a steel-framed one; this one answer may settle the question on its own. (3) Will the structural engineer look at the lift as a scheme, rather than as a variation on the rebuild? (4) We will commission Rooflifters' Stage 3 analysis — tell us what to hand them. We are not asking anyone to re-run tonnage or re-price anything until the answer to (1) is yes.

The middle option: a partial lift. If the whole roof cannot be lifted, the **27,393 SF high-roof zone** over the house is one clear-span plane with nothing stacked on it, and it is the zone where our ground-supported structure asks nothing of the roof. The terrace zone, if it survives the programme decision, is a floor with people on it and is a rebuild regardless. A partial lift would need the existing roof to survive being cut free and jacked, to carry snow and drift at the new height, and to meet a rebuilt terrace and lower roof at two new structural interfaces. Those are questions for the structural engineer, and we would rather ask them in two weeks than carry them into DD.

What a lift does and does not save. Three things worth being clear about so nobody expects the wrong result. First, the ground-up stage and VIP decking do not by themselves take steel out of the roof — the model already assumes the roof carries no rigging, which is why the high roof is only 8.65 lb/SF, and our ground-supported structure is the reason it can be that light. That saving is already banked. Second, what a partial lift over the house avoids is the new high-roof steel (118.5 tons), its deck, its membrane and the demolition of that zone, against which sits the lifter's contract, the column extensions and the temporary works — on cost that is close to a wash, and the case for it is weather exposure, a smaller demolition and possibly the DOB route, not the steel. Third, the steel that actually costs money is the columns and bracing, 359 tons and 37% of the building, driven by 60 ft of column height and by carrying the occupied terrace. If the aim is materially less steel, the levers are the programme (the terrace and the third floor) and the roof height (whether the clear height really needs +64 ft 6 in), and those move far more tonnage than any lift does.

So the sequence we propose: (1) confirm what the existing roof is made of — if it is pre-cast, the lift is probably dead and we stop spending time on it; (2) settle the terrace and the height with Nate, because that is where the steel is; (3) if the roof turns out to be liftable, take the partial lift for the schedule and exposure benefits, with whatever steel it saves as a bonus.

If the answers come back pre-cast and no, we will adopt the rebuild without further argument — and price it then. Until that answer is in, the 997 tons is a number about a different building.

What else the takeoff settles

Units. The file reports 904.62 in a tonnes column, which is metric. US steel is bought in short tons at 2,000 lb, which makes it 997.2. Pricing off the tonnes column understates the steel by 10.2%.

The roof carries no rigging in the model either. The high roof is 8.65 lb/SF of short-span W12 and W6 framing — weather only. Please confirm in writing that the roof design loads exclude production rigging, hoists and point loads, so a rigging allowance is not quietly added back at DD and paid for twice. Separately, the lower roof at 20.81 lb/SF is the heaviest per square foot in the building, heavier than the occupied terrace; if that is dunnage or screening it should say so.

Where the steel actually is. Shared columns and vertical bracing: 718,634 lb, 37% of the whole. That weight is driven by 60 ft of column height and by carrying the occupied terrace, not by the roof — which is why the programme decision and the roof decision have to be made together.

One rate flag. 80 of the columns (202 tons) are shop-welded built-up plate girders, I 48/24 through I 69.023/24, 60 LF each on grids B and E. \$6,000/TON is a rolled-shape rate and will be low for these.

Two corrections we are taking back

135,953 SF. We had called it wrong. The model carries 146,508 SF gross and 120,119 SF of enclosed floor, and our own mezzanine assumption was smaller than what the model draws. We can no longer prove your figure wrong — but it is unsourced, it does not derive from the test fit, and 555 Johnson at \$208.63/SF is 134,993 SF. We are asking for its derivation and for one agreed area schedule, from PD04 Rev 4.4, that every budget labels.

The roof demolition line. We had asked you to delete it. Withdrawn: it is the method the model uses. Whether it is the method we use is the section above, and that is ours to settle with Nate and the structural engineer, not yours.

What still needs fixing — about \$11.8M all-in

Contingency, \$6,590,876. D67 computes 10% of the whole project on top of \$5,786,479 of contractor contingency already inside D31. As labelled it would be \$1,507,723; \$578,648 of it is contingency on contingency.

General conditions twice, \$2,643,751. \$3,141,000 staffing chart plus \$3,034,000 of division 013000 inside trade = 12.36% of trade. Schimenti ran 7.80% and 8.90% at 555 Johnson. *Project Labor \$2,000,000* has no crew, rate or duration behind it.

Sidewalk bridge, \$1,859,913. \$4,000,000 lump; the backup rows beneath it foot to \$2,589,800. The \$2,000,000 of interior scaffolding we are no longer contesting outright — but the ground-supported stage and towers go up first and could carry the access.

Lighting bought twice, \$2,151,701. \$1,750,000 in FF&E plus \$1,631,436 of *I/O lighting package* — *provided by others* inside electrical.

Coat check lockers, \$972,689. 2,000 at \$500 serves 27% of the house at once.

And D26, the \$12,000,000 plug, is too small. At your own \$6,000/TON the model's hot-rolled tonnage alone is roughly \$5.9M before the plate-girder premium — and the plug still has to cover every bar, every door, storefront, glazing, tile, fireproofing and most of the drywall. It rises when priced, on either scheme.

Why the fee structure matters

The 9% is currently earned on your own general conditions (\$555,750 of fee, \$672,458 all-in) and on the \$12M of unpriced scope (\$1,080,000, \$1,306,800 all-in). Profit on the cost of your own staff is double-dipping; fee on a plug rises automatically when the plug is priced. A fixed fee removes both. Insurance is a quotable premium, not a margin — and under NY Labor Law 240 the owner is exposed whether or not the contractor holds the policy, so the only question is who buys it and at what markup.

Deal structure, for the record

EBC owns the land; we sign a 30-year lease; Insomniac funds and builds out. Everything here is a leasehold improvement that reverts at the end of the term. The largest untested lever in the whole exercise is what EBC contributes to a build on its own land. Nobody has asked yet.